Public-Data Hedging Benchmark

Approach, current results, and model catalogue

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Executive status. The model-neutral daily benchmark is operational on a normalized, original-data-free public-candidate panel. Two methods have complete out-of-sample results over all 611 eligible 2023–2025 origins and all 20 daily digital targets. SANOS–LV reduces aggregate pure-hedge RMSE by **56.5%** versus the unhedged claims; historical statistical SANOS reduces it by **17.4%**. Robust covariance, GROMM, VolGAN, and AD–Seq–Vol have passed their current implementation gates but do not yet have comparable full-production results. Weekly mechanics and pricing pass; weekly production evaluation remains outstanding.

1 Approach

1.1 Data boundary and common market

The sole runtime input is the distributable-candidate dataset `spx-2022-2025-hedging-public-candidate-v1`. It contains 891 retained dates from 3 January 2022 to 29 August 2025 and 2,014,740 contemporaneously eligible quote-side option coordinates. It contains no original WRDS price, midpoint, identifier, volume, open interest, vendor Greek, or vendor implied volatility. Instead it releases normalized fitted SANOS and DLV states, separate reconstructable SANOS and DLV model prices, Black implied volatilities, forward/spot ratios, discount factors, normalized half-spreads, and forward-adjusted spot returns.

The common executable market mark is the released SANOS price. A purchase pays SANOS plus one half-spread and a sale receives SANOS minus one half-spread. Spot costs one basis point of traded notional per transaction; cash settlement is free. The release is technically classified as `public_candidate`; redistribution still requires a separate rights decision.

1.2 Out-of-sample protocol

- Model initialization, architecture validation, and target sizing use 2022 only. Every rolling estimator uses the previous 252 exact one-session transitions and no future observation.
- Daily evaluation runs from 17 January 2023 through 28 August 2025: 611 eligible origins, 20 targets per origin, and 12,220 claim/origin records.
- The targets are cash digitals at 1D and 3D: ATM call and put plus OTM NMS levels $\pm 0.25, \pm 0.50, \pm 0.75, \pm 1.00$. Quantities are fixed from 2022 so each target has one maturity-matched ATM spot-risk unit.
- The hedge universe is normalized spot plus one OTM option per eligible strike inside $(-2, 2)$ NMS, using expiries up to five business days (or the first later expiry when five days is absent).
- Weekly evaluation starts an overlapping five-session episode on every eligible date. Frozen weekly fits once and keeps its inception contract book; restarted weekly refits daily. Both may react to the realized state.

1.3 Common accounting and objectives

Every method starts from the same market claim mark and is evaluated on the same realized next-date SANOS mark or cash payoff. The report separates *pricing loss*, *pure hedge loss*, and their sum, *economic loss*. Buyer and seller indifference prices are additional model outputs, not substitutes for this common-price comparison.

Supported risk criteria are mean–variance, mean–volatility, entropy OCE, and power-exponential OCE. Learned or statistical policies use the hedge of the claim relative to the corresponding zero-claim policy; generated models also fit a direct pure policy so transaction costs are charged on the executable net position rather than inferred from differences of absolute-policy costs.

2 Current Results

2.1 Completed daily production runs

Table 1 uses the pure-hedge loss in inception-spot units. Aggregate RMSE is the square root of the equally weighted mean claim-level MSE; every claim contributes 611 observations. "Reduction" is relative to the matching unhedged RMSE. Expected shortfall is the equally weighted claim-level 95% expected shortfall.

Table 1: Out-of-sample daily risk across the completed 611-origin runs.

Model	Targets	Unhedged RMSE	Pure RMSE	Reduction	Economic RMSE	ES_{95}
SANOS–LV	all 20	0.01632	0.00710	56.5%	0.00710	0.01351
SANOS–LV	1D	0.01244	0.00862	30.7%	0.00862	0.01329
SANOS–LV	3D	0.01943	0.00514	73.6%	0.00514	0.01373
Historical SANOS	all 20	0.01632	0.01347	17.4%	0.01347	0.02571
Historical SANOS	1D	0.01244	0.01116	10.3%	0.01116	0.02234
Historical SANOS	3D	0.01943	0.01544	20.6%	0.01544	0.02908

The SANOS–LV hedge is materially stronger on this first completed comparison, especially for the remaining-life 3D claims. Its aggregate pure RMSE is 47.3% lower than historical SANOS. Pricing loss is negligible at aggregate scale: SANOS–LV economic RMSE is 0.007098 versus pure RMSE 0.007096; historical SANOS uses the common price and therefore has zero pricing contribution by design.

Table 2: Average trading diagnostics across all 20 targets and 611 origins.

Model	Mean cost	Entry turnover	Nonzero actions	Cap hits	Nonconverged	Records
SANOS–LV	0.001011	2.670	5.0	0	0	12,220
Historical SANOS	0.001019	0.0738	181.6	0	0	12,220

The similar average cost hides different portfolio geometry. SANOS–LV uses a sparse exact eight-factor hedge plus spot; historical SANOS spreads small positions across much of the 200-coordinate option book. Turnover and action count therefore should not be read interchangeably.

2.2 Evidence level across models

Table 3: Current evidence. "Readiness" is not a performance estimate.

Model	Measure	Daily status	Evidence
SANOS–LV	Q price / realized path	**complete**	611 origins, 12,220 records, zero cap hits and zero nonconvergence.
Historical SANOS	P	**complete**	611 origins, 12,220 records, zero cap hits and zero nonconvergence.
Robust covariance	P	**ready**	Full 20-target one-origin mean–volatility gate passed for $\kappa \in \{0.1, 1, 2, 3\}$; production pending.
GROMM	P and Q	**ready**	Rolling artifacts, daily/weekly scenarios, four objectives, direct Q-shadow pure hedge, and quant review pass; managed-GPU fit and production pending.
VolGAN	P	**ready**	Public-architecture implementation, restartable rolling updates, daily/weekly adapters, and smoke tests pass; production pending.
AD–Seq–Vol / FT	P	**ready**	Full-geometry managed-GPU origin: 4,096 scenarios, 20 targets, 158.3 seconds, 2,636 MiB VRAM, no cap hit or nonconvergence; production pending.

2.3 Supporting calibration and weekly evidence

The rolling rank-16 DLV innovation fit explains 86.50% of variance at the first production origin. The compatible physical drift passes its precommitted holdout test: 1.87% validation improvement, paired gain statistic 6.84, and daily risk-price norm 0.371. These are model-calibration diagnostics, not hedge performance results.

The weekly engine has 528 eligible origins through 22 August 2025 and 13 common targets: ten five-day digitals, realized variance, a 95% end-of-day down-and-out ATM put, and a 105% end-of-day up-and-out ATM call. The common DLV transition test has maximum mass and martingale errors below 3.6×10^{-14} across an eight-date check. Daily, frozen-weekly, and restarted-weekly adapters exist for all model families, but no complete weekly comparison is yet reported.

3 Model Catalogue

3.1 SANOS–LV reference hedge

SANOS supplies the common market interpolation and digital price. DLV local volatility supplies the model price and Greeks. From each trailing 252-day window, the method estimates one front-spot-projected DLV factor and seven residual PCA factors. Central DLV-squared bumps give factor vegas; a linear program selects the minimum predictable-cost option portfolio that exactly neutralizes them, and spot removes residual delta. One-day claims are delta-only; three-day claims use at most eight option hedges. The method is deterministic, sparse, and the strongest completed baseline.

3.2 Independent robust covariance

This baseline deliberately avoids a SANOS scenario generator. It replays the current relative option book over 252 historical public transitions, fits robust scales and a regularized Tyler scatter matrix, and estimates each target cross-moment separately by robust regression. Expected returns are HAC-screened in covariance eigenportfolios. Mean–variance and mean–volatility hedges use spread-weighted lasso costs; the latter is checked analytically for recession directions. The implementation gate passes, but only one production origin exists and it must not be compared with Table 1.

3.3 Historical statistical SANOS

Historical SANOS reconstructs 252 same-coordinate option and target returns from released SANOS states and uses those empirical rows directly as scenarios. It supports all four risk criteria. Long, short, and zero policies determine indifference prices; a separate drift-neutral policy gives the executable pure hedge. Mean–variance uses exact cost-lasso coordinate descent and nonlinear objectives use analytic-gradient L-BFGS-B. The model is inexpensive and fully rolling, but its completed mean–volatility $\kappa = 1$ result trails SANOS–LV.

3.4 GROMM

GROMM is the native generative risk-neutral option-market model: a 200-strike JAX market fit, 16-factor AR(1) log-DLV-squared dynamics, independent 5% Black background, and eight Brownian substeps per business day. Dated artifacts are bound to exactly 252 public transitions and must pass compatible-P drift gates. It generates Q and accepted compatible-P scenarios. An affine-plus-deep LSTM supports all four objectives; the executable pure policy uses conditional Q-shadow gains at each realized P state, removing predictable physical drift without fitted holdout centering. CPU integration and quant review pass; rolling managed-GPU production remains outstanding.

3.5 VolGAN

VolGAN is a historical-P surface generator on a fixed 9×11 Black-IV grid reconstructed from public SANOS states. It conditions on two lagged returns, trailing 21-day realized volatility, and the current surface. The published two-layer Softplus architecture uses 32 noise dimensions, a 16-unit hidden layer, and strike/maturity gradient penalties. Weekly paths recursively update surface and return state. The implementation is project-native and uses no proprietary surfaces. Smoke, restart, and rolling warm-start gates pass; full production does not yet exist.

3.6 AD–Seq–Vol and arbitrage-penalized fine tuning

AD–Seq–Vol is a causal sequence diffusion model on 22-day histories of the same 9×11 surface plus forward-adjusted returns. Its eight-layer, width-256, four-head transformer predicts the clean sequence through a 200-step cosine DDPM. AD–Seq–Vol–FT freezes the EMA base and trains a zero-initialized rank-four adapter with calendar, call-spread, and butterfly penalties. Both are historical-P generators and supply indifference prices rather than Q expectations. Exact restart, rolling warm-start, daily/weekly adapters, and one full-geometry GPU origin pass; production and batch-invariance remain pending.

4 Interpretation and Next Evidence

The benchmark now has a reproducible common market, accounting system, target catalogue, cost model, adapters, and two complete daily baselines; it does not yet establish a final ranking. Next come complete covariance, GROMM P/Q, and generated-model daily runs; production batch/restart checks; and the frozen- versus-restarted weekly comparison with overlap-aware inference.

Provenance. The completed results use public dataset manifest SHA-256 `58741552e0f6...12cf903007a`. SANOS–LV run identity begins `2af7a4f64df4`; historical-SANOS run identity begins `64adf168a213`. All headline numbers are derived from immutable `hedging-daily-results-v2` artifacts. Readiness statements come from the dated reports and independent reviews alongside the implementation.